

STARBUCKS CORPORATION - DCF

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COMPANY SNAPSHOT

Headquarters: Seattle, Washington
Industry: Coffee Retail
Ticker: SBUX | Exchange: NASDAQ
FY25 Revenue: \$37.1 billion
Market Cap: \$90–100 billion range
Current Market Price: \$83.34
Global Store Count: ~38,000+
Fiscal Year End: September 2025

Investment Thesis

Strong brand loyalty and global footprint supporting long-term revenue growth.
Margin recovery expected from operating efficiency initiatives.
International expansion (China, India) remains a major long-term growth driver.

Key Risks

Slowing consumer spending in core markets
Commodity cost increases (coffee, dairy)
FX volatility impacting international earnings

SCENARIO ANALYSIS

Using a full DCF valuation model with a discount rate of 10% and terminal growth at 3%.

Base Case (Fair Value)

Assumes moderate revenue growth and stable margins.
This yields a valuation of approximately \$95 billion.

Bull Case (Fair Value)

Assumes stronger same-store sales growth and margin expansion.
This scenario implies a higher valuation of approximately \$110 billion.

Bear Case (Fair Value)

Uses more conservative growth and margin assumptions.
Reflects downside risk with a valuation of approximately \$80 billion.

Conclusion

The valuation range (\$80B–\$110B) is consistent with the current market cap.
The Base Case suggests a fair value of approximately \$95 billion.

DCF MODEL WITH SCENARIO ANALYSIS



ANALYSIS SUMMARY

DCF valuation framework with revenue growth, operating margin, WACC,

and key drivers, I evaluated Starbucks (SBUX) under Base, Bull, and Bear scenarios to understand valuation sensitivity.

Base Case (\$115)

Assumptions: steady revenue growth, stable margins, and a 9% WACC.

Valuation is slightly above the current market pricing, indicating mild undervaluation.

Bull Case (\$157)

Assumptions: faster e-store growth, margin expansion, and an improved WACC due to reduced risk.

Indicates meaningful upside if operating efficiency improves and macro conditions support higher consumer spending.

Bear Case (\$89)

Assumptions: lower revenue growth, margin pressure, and a higher cost of capital.

Valuation drops significantly if inflation or weakening demand impacts profitability.

The range (\$89 – \$157) highlights how sensitive Starbucks' intrinsic value is to changes in growth and margins.

Overall, the stock is modestly undervalued, while the Bull Case indicates substantial upside potential if fundamental assumptions hold.

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